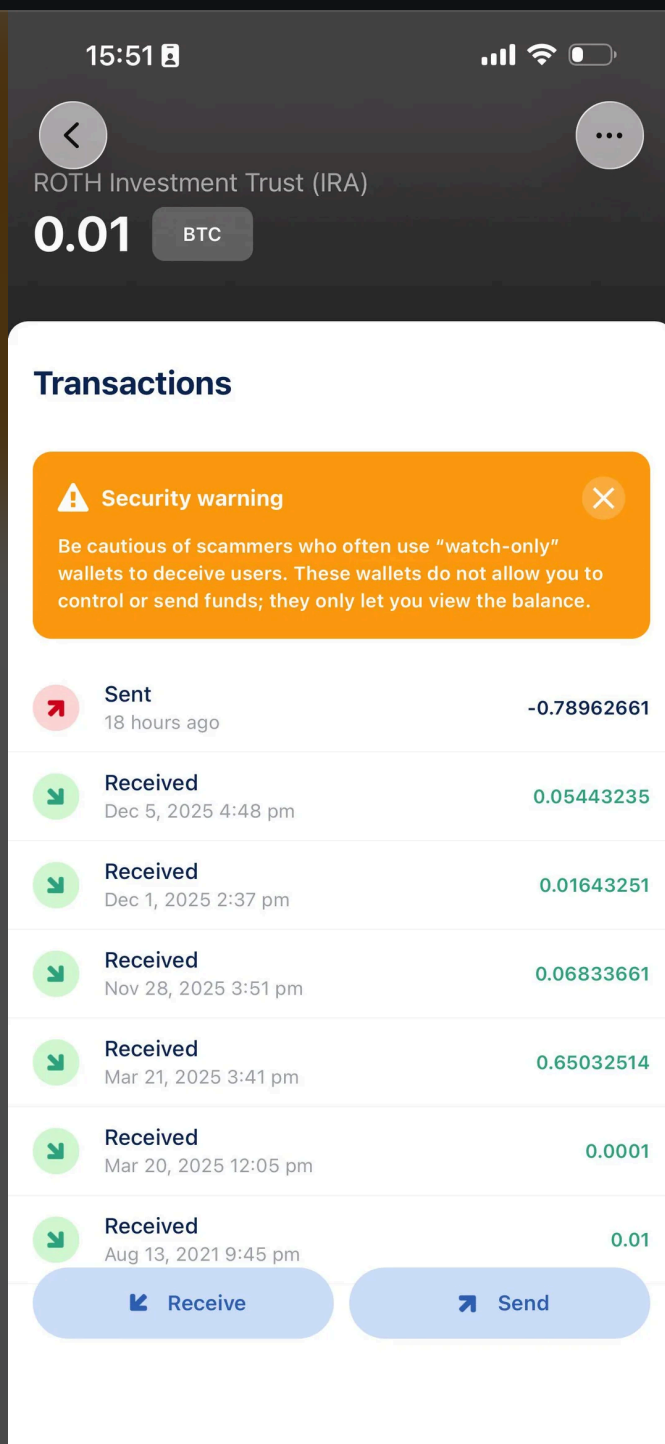


r/Bitcoin • 1d ago
s1amage

Wallet Drained Timeline



This is me...

<https://www.reddit.com/r/Bitcoin/s/UeSfLoeyS4>

I'm in a better state now. It's not the end of the world, but it's a lot of fucking money...

Little background: The setup was IRA custodian is Solera National Bank, exchange at Swan Bitcoin was used as an Investment Trust, purchase a dedicated hardware wallets: coldcard mk3 from <https://store.coinkite.com> May 2021 for this ROTH IRA.

Got the wallets, followed all the setup/checks/balances from https://youtu.be/FAYmE5-40PQ?is=wiYMHaS_YGKHjNOY for both wallets, sent a test transaction IRA dedicated hardware wallet (2021). I

until January 2025. I couldn't deposit more because of KYMIRA threshold.

↑ 669 ↓ · 327



s1amage OP · 1d ago

I really thought it was 100% my fault. Now I know it's 99% my fault.

↑ 30 ↓

3 more replies ▾



paperlevel · 1d ago

This was a large scale operation: 594 BTC stolen at the same time. Largest holder lost 30 BTC.

<https://atlas21.com/594-bitcoin-drained-15-minutes-theft/>

⊖ ↑ 377 ↓



s1amage OP · 1d ago

Damn... this is alarming

↑ 11 ↓

10 more replies ▾



AdEuphoric5133 · 1d ago

This is crazy. I had never heard of such a surgical theft of bitcoin before. All bitcoin thefts are generally someone giving away their seed from a stupid manipulation.

When I first read OP's post a few hours ago, I was like "dude probably just entered his seed wherever". But this time, the theft is very surgical. Someone exploited a flaw with coldcard. This is not your fault OP. They talk about you in the article. You will have to unite with the other victims and sue Coldcard to get compensated. I think it would be worth making a new post on this sub whose purpose is for other victims to make themselves known, so you can coordinate a group action

↑ 355 ↓

53 more replies ▾



ViperG · 1d ago

Someone was able to replicate the rng exploit on mk2/mk3:

<https://x.com/i/status/2082958675975553224>

↑ 27 ↓

6 more replies ▾

9 more replies ▾



Lanky_Assist_6317 · 1d ago

OK I have read everything and I have a question:

When you bought the original Coldcard, HOW did you generate the seed words? You mentioned in

It seems to me that your original seeds were compromised from the start. Let's say some malicious Coldcard worker had access to the hardware wallets in the Coldcard production line or something like that, somehow managed to store a bunch of original seeds hoping buyers would use them as is and retire a couple of years later, raising no personal suspicion. It seems really likely, I have no idea how the production of these wallets work, but it could have some human processing in any way, which creates breaches like that, unfortunately.

⊖ ↑ 21 ↓



s1amage OP • 1d ago

It was generated by the coldcard. I followed BTCSessions's YouTube channel. I guess I should have used the dice method.

↑ 22 ↓

12 more replies ▾

1 more reply ▾



NiagaraBTC • 1d ago

You're certain you exported a wallet file via SD card and not somehow the private key itself?
How certain are you that you were using a legitimate version of Sparrow?

⊖ ↑ 25 ↓



s1amage OP • 1d ago

It could be sparrow. I did have to update it...

↑ 14 ↓

15 more replies ▾

5 more replies ▾



WocketMan0351 • 1d ago

Where did you buy the (3) coldcards from?

⊖ ↑ 4 ↓



s1amage OP • 1d ago

Coinkite. My record from 2021 was still there. Let me see if I can get a screenshot

↑ 5 ↓

3 more replies ▾



ConsequenceFew6931 • 1d ago

OP I ran your timeline through Opus 5. Here is what it had to say:

EDIT: removing my long post. It has been confirmed there was a breach on all coldcard mk3s due to weak entropy

↑ 16 ↓

 **The_Bitcoin_Act** · 1d ago

Really sorry this happened to you. Losing that much is brutal, especially when you were careful with hardware wallets and air-gapping. I'm glad you're in a better headspace now and that it's not the end of the world for you.

The fact that you're sharing the full timeline so others can learn from it is genuinely helpful. Take care of yourself, and I hope the remaining wallet stays safe.

↑ 98 ↓

 **Generationhodl** · 1d ago

<https://blog.coinkite.com/coldcard-mk3-seed-generation-warning/>

↑ 49 ↓

5 more replies ▾

 **AdEuphoric5133** · 1d ago

<https://blog.coinkite.com/coldcard-mk3-seed-generation-warning/>

Coldcard acknowledging the issue be like : "Out of an abundance of caution"

When your clients just lost 594 BTC because of a mistake you made, acknowledging the issue is not "abundance of caution", it is the least you can do.

This company is a joke. Guys who use a Coldcard, make yourself a favor and buy a new hardware wallet

↑ 92 ↓

10 more replies ▾

 **No_Position_8581** · 1d ago

multiple people on twitter reporting the same. This is the real deal. What firmware are you using? We need every detail

↑ 114 ↓

17 more replies ▾

 **Fair-Garlic8240** · 1d ago

This is why the average Joe won't buy crypto.

↑ 47 ↓

7 more replies ▾

 **poisito** · 1d ago

Maybe not the best thing to mention at the moment, but if this is a legal ROTH IRA, you are going to get penalized by the IRS for taking money out, regardless if it was stolen. Best of luck OP

⊖ ↑ 44 ↓

 **StraightUp-Reviews** · 1d ago

Ouch. Bro just got double fucked.

↑ 30 ↓

**Fiach_Dubh** · 1d ago

you only used sparrow on desktop right?

(there is no sparrow wallet on mobile phones, those are all scams/malware)

Did you roll dice when setting up the coldcard for extra entropy or just use the base entropy? if so, how many rolls did you do? less than 100?

Do you know the firmware versions you were using ?

I'm sorry this happened to you.

↑ 11 ↓

1 more reply ▾

**OutrageousMango** · 1d ago

This is exactly why Bitcoin will never be mass adopted. No matter how safe you try to be, things like this continue to happen.

↑ 19 ↓

2 more replies ▾

**33halvings** · 1d ago

I remember coldcard being promoted as THE hardware wallet for Bitcoin-only people since it was also open-source etc. I'm glad I never bought and used it.

This is an absolute shitshow, might be the end of coldcard as a company.

↑ 8 ↓

2 more replies ▾

**thaneliness** · 1d ago

So what exactly is the benefit of bitcoin versus investing in a ETF, where I know I'm 100% safe from bullshit like this? Honestly.

↑ 11 ↓

6 more replies ▾

**s1amage OP** · 18h ago

WARNING: They are still running sweeps... just lost the last 0.01 just now.

I was too deflated to care about it.

I did make sure to move another wallet away from the affected cold card though (which is the rest of my stack).

There will be people not checking as frequently as I am...

↑ 1 ↓

**Professional_Golf393** · 1d ago

Coinkite filing for bankruptcy in 3..2..1

Since that day I've hated them.

Feel bad for everyone who lost money.. hopefully the thief slips up and gets caught, or returns funds, slim chance but possible.

I guess the lesson here is don't trust the entropy of any device, and don't store all your eggs in 1 basket

↑ 5 ↓

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I just realized something obvious about crypto wallets 🤔

221 upvotes · 72 comments

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